

BEFORE THE
FEDERAL MARITIME COMMISSION

YSN IMPORTS INC. d/b/a/ Flame King,

Complainant,

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS
GROUP INC., and U SHIPPERS GROUP
MANAGEMENT CO., INC.

Respondents.

Docket No. 21-02

OPPOSITION TO RESPONDENTS’ MOTION TO COMPEL DOCUMENT REQUESTS

YSN Imports, Inc. d/b/a Flame King (the “Complainant” or “YSN”), by and through its attorneys Holland & Knight LLP, respectfully submits this opposition to Respondents’ Feige “Peggy” Oberlander, U Shippers Group Inc. (the “Association”), U Shippers Group Management Co., Inc. (“Management”) (all three Respondents collectively “Respondents”) motion to compel production of third party service contracts belonging to the Freight Alliance Shippers’ Association (“FASA”). The Presiding Officer should deny Respondents’ motion to compel because (1) FASA is a third party shippers’ association, and non-party to this action, of which YSN is a member; (2) YSN does not have possession of FASA service contracts as a member participant, even if its employee, Sam Newman, has restricted access to the FASA service contracts through his role as Director of that separate entity; (3) even if the FASA service contracts were subject to discovery served on YSN, which is denied, Complainant is not in any event relying on the rate information from the FASA service contract to establish its quantum of reparation damages. Complainant is relying upon rates charged to YSN directly by the Carriers,

and has produced the invoices from Carriers with applicable rates that establish its damages for the relevant shipments. (Ex. A, Sample Invoice with Carrier rates charged directly to YSN). Based on the foregoing, Respondents' motion to compel the FASA service contracts as well as any FASA documents related to such service contracts should be denied.

Factual Background

In February 2021, Respondents expelled Complainant from the Association as a penalty for disputing assessment of inflated market-based additional fees, and to make room for the Association to admit other shippers to pay inflated rates assessed by Respondents. Respondents have suggested expulsion of Complainant was for alleged overbooking of shipments on the Association's service contract with Maersk, but has offered nothing to support this false excuse for expulsion. The expulsion required Complainant to incur significant damages in the form of increased freight rates charged by Maersk and other Carriers to book shipments during the remainder of the Maersk service contract after the expulsion of the Complainant from the Association.

In Discovery Requests 6 and 7, Respondents requested production of the following documents:

6. All documents concerning any attempts by YSN to seek shipping space for the "605 shipments incurred from expulsion until the end of the service contract year with Maersk" referenced in YSN's initial disclosures, including, without limitation, quotes from shippers or inquiries to shippers as to price and volume.

7. All documents concerning any shipments made or contracted for by YSN with other ocean common carriers from 2019 to the present.

In response, Complainant produced the bills of lading and invoice documents reflecting the freight charges paid for the relevant shipments, and the correspondence related to those shipments. As explained in their Motion to Compel, Respondents do not dispute this production by YSN, but contend that they also need the FASA service contracts because these documents are “directly relevant to YSN’s claim for reparations.” *See* Respondents’ Mot. to Compel at 2. Respondents contend that the FASA service contracts under which YSN booked shipments with other Carriers following expulsion are subject to discovery because Sam Newman (as Director of FASA) negotiated the service contracts with Carriers, and therefore YSN should have to produce the documents. FASA is a third party not subject to the Respondents’ discovery requests to YSN, and YSN is not in any event relying on the FASA service contracts or other FASA documentation related to such service contracts for its damages. Respondents motion to compel should be denied.

Argument

Respondents offer two grounds for compelling production of the FASA service contracts and other FASA documents, both of which are untenable. First, Respondents contend that Complainant must produce the FASA service contracts because YSN’s employee, Sam Newman, negotiated (on behalf of FASA) for the terms of the FASA Service Contract with the respective Carriers. It is well-established that “a party ‘may not be compelled to produce information that does not exist or which he does not possess’” *See Creekmore v. PSCH, Inc.*, 26 Misc. 3d 1217(A), 907 N.Y.S.2d 99 (Sup. Ct. 2010). “A party has ‘control’ over documents held by a

non-party if it ‘has the legal right or practical ability to obtain documents from [that] non-party. ’’

See Signify North America Corporation v. Satco Products, Inc., 19-CV-6125, 2020 WL 9455192, at *2 (E.D.N.Y. Oct. 22, 2020). Additionally, documents are only considered to be under a party’s control if that party has the “right, authority, or practical ability to obtain the documents from a non-party to the action.” *Id.* Here, Newman does not, as an employee of YSN, have a contractual right or any authorization to produce the FASA service contracts in response to discovery requests served on YSN. Regardless of Respondents’ misplaced assertions concerning the FASA service contracts, YSN is not authorized to disclose and has no legal right to produce the FASA service contracts or related documents in this action between YSN and Respondent. The mere assertion that Newman is also the Director of FASA does not confer to YSN any legal right to obtain documents from FASA, or place FASA’s documents within YSN’s legal possession, custody, or control.

Second, Respondents argument that the Protective Order provides sufficient protection of the confidential information contained in the FASA service contracts is misplaced. The FASA service contracts are non-party documents, and FASA is not entitled to enforce the terms of the Protective Order against Respondents. The Presiding Officer acknowledged the perils of disclosing these particular FASA service contracts due to the fact that the parties to this action are competitors, and cautioned against disclosure of service contracts unless there is a substantial need to discover these contracts from **non-parties** to this case, here FASA. *See* Exhibit B, Third Amended Schedule (emphasis added). The Judge’s points are supported by case law (1) which provides that production of documents from a non-party can be compelled only by a subpoena *duces tecum*, which was not done here, and (2) the Respondents have failed to demonstrate a substantial need to obtain the FASA service contracts especially as YSN does not even rely on

the service contracts for its quantum of damages claim. *United States Sec. & Exch. Comm'n v. Ahmed*, No. 3:15CV675 (JBA), 2017 WL 5525837, at *1 (D. Conn. Mar. 3, 2017)(denying motion to compel documents from a non-party). The overriding factor supporting denial of this motion to compel is that Complainant is not relying on the FASA service contracts for proof of its damages, but instead is relying on rates charged to YSN reflected in invoices directly from the Carrier. (Ex. A, Sample Carrier Invoice with Freight Charges).

For the foregoing reasons, Complainant requests that Respondents' Motion to Compel the FASA service contracts under which its cargo moved as well as documentation related to such service contracts be denied.

Dated: December 8, 2021

Respectfully submitted,

By: /s/ J. Michael Cavanaugh

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Flame King*

EXHIBIT A

Changes to correct payer on or after the ETA of the final vessel may be subject to a payer amendment fee starting from the 1st of Oct 2019.. In case you would like to create, view or modify your Standing Instructions for payer, please click - <https://www.maersk.com/payer-standing-instructions/#/>
From 11th November any changes to Import Invoice payer should be requested prior containers release at Final Delivery.



MAERSK

ARRIVAL NOTICE

B/L No: MAEU - 1KT077103

TPDoc, sea waybill, shipped on board

Notify Party (Complete name and address)

YSN IMPORTS INC.
8616 SLAUSON, AVENUE
PICO RIVERA, CA 90660

Vessel
MSC SOLA

Voyage No
111N

Print Date
2021-04-22 07:23

Your ref.
1KT077103

Product Type:
TWILL

Place of Receipt
BANGKOK, THAILAND

Port of Loading
LAEM CHABANG, THAILAND

Port of Discharge
PRINCE RUPERT NORTH AMERICAN PORT

Terminal Location:
LAEM CHABANG PORT B1
Pelabuhan Tanjung Pelepas Terminal
YANGSHAN SGH GUANDONG
TERMINAL
Prince Rupert Fairview T 808, 5086
For IT Date use arrival date below.

Place of delivery
ELKHART, IN

Consignee (Complete name and address)

YSN IMPORTS INC.
8616 SLAUSON, AVENUE
PICO RIVERA, CA 90660

Shipper/Exporter (Complete name and address)

SAHAMITR PRESSURE CONTAINER PUBLIC
CO., LTD. 92 SOI THIENTALAY 7 (4TH INTERSECTION)
BANGKHUNTHIEN-CHAITALAY ROAD, SAMAEDAM, BANGKHUNTHIEN,
BANGKOK 10150, THAILAND.

Kind of Packages; Description of goods; Marks and Numbers; Container No./Seal No.

480
PIECES

Gross Weight
11481.600 KGS

Measurement
60.0000 CBM

12.2GL EMPTY PROPANE CYLINDER WITH VALVE PO.NO. 2372

ASME

Shipper Ref: KF770821

CY/SD

Container No.	Seal No.	Seal Value	Size/Type/Height	Tare Weight	Pkgs.	Weight	Measurement	Rail Bond /Pick-up No.
PONU7596920	ML-TH6015882		40 DRY 9'6"	3940.000 KGS	480	11481.600 KGS	60.0000 CBM	

Agent Name

MAERSK LINE (THAILAND) LTD.

The above mentioned cargo is
due to arrive aboard subject
vessel On/or About

Date

2021-04-29

Below freight details will not be part of Original Bill of Lading unless requested by customer

Freight & Charges	Rate	Curr.	Unit	Prepaid	Collect
Bunker Adjustment Factor	316.00	USD	Per Container		316.00
Basic Ocean Freight	7234.00	USD	Per Container		7234.00
Inland Haulage Import	745.00	USD	Per Container		745.00
Low Sulphur Surcharge	2.00	USD	Per Container		2.00
USD		USD			8297.00

If you have any questions please contact Maersk Line at 1-800-221-8889. If you are outside the US, please contact your local Maersk office. For more information on our services, please visit www.maersk.com. For a live up-to-date view of your account with Maersk Line, register at www.maerskline.com to gain access through our online tool - MyFinance. You can view, download and print invoice copies, save time and costs, with MyFinance.

For a live up-to-date view of your account with Maersk Line, register at www.maerskline.com to gain access through our online tool - MyFinance. You can view, download and print invoice copies, save time and costs, with MyFinance.

Charge Name	Prepaid/Collect	Invoice Party	Customer Code	Collection Business Unit
Bunker Adjustment Factor	Collect	YSN IMPORTS	33103240712	Maersk Agency U.S.A., Inc - Charlotte
Basic Ocean Freight	Collect	YSN IMPORTS	33103240712	Maersk Agency U.S.A., Inc - Charlotte
Export Service	Prepaid	SAHAMITR PRESSURE CON	435595158KK	Maersk Bangkok (Bangkok)
Inland Haulage Import	Collect	YSN IMPORTS	33103240712	Maersk Agency U.S.A., Inc - Charlotte
Low Sulphur Surcharge	Collect	YSN IMPORTS	33103240712	Maersk Agency U.S.A., Inc - Charlotte
Documentation Fee - Origin	Prepaid	SAHAMITR PRESSURE CON	435595158KK	Maersk Bangkok (Bangkok)
Terminal Handling Service - Origin	Prepaid	SAHAMITR PRESSURE CON	435595158KK	Maersk Bangkok (Bangkok)

We would appreciate if you could contact us at CA.Import@maersk.com with your preferred email address so that we may update our systems for future Import notifications to be generated correctly.

Equipment No.	Demurrage Payer Code	Detention Payer Code	Demurrage Payer Name	Detention Payer Name	Import Demurrage Reference	Import Detention Reference
PONU7596920	33103240712	33103240712	YSN IMPORTS	YSN IMPORTS		

To stay informed about transport plan changes on your shipment, subscribe to notifications on our website: [https:// www.maersk.com/notifications/#summary](https://www.maersk.com/notifications/#summary)

Arrival notice requests can now be placed on-line: <http://wcm-origin.maerskline.com/en-us/countries/us/world%20factbook/import/arrival-notice>

DRY and Special Commodities (eg: refrigerated cargo): IMPORT requests can be sent to: US.Import@maersk.com

Diversion requests can be sent to: <http://www.maerskline.com/en-us/countries/us/world%20factbook/import/diversion-request-form>

For electronic payments, please forward your remittance information via e-mail to NAMFRCSVCACH@maersk.com.

* Bank: Bank of America
Account Information:
Wire Only-ABA:026009593 Account: 4426928403
ACH Only-ABA: 111000012 Account: 4426928403

* If paying by check, please remit payment to:
Maersk Agency U.S.A., Inc.
Attention: Payment Service - 3rd Floor South
9300 Arrowpoint Blvd
Charlotte, NC 28273-8136

Merchant warrants that it has had the opportunity to inquire and verify the applicable over-the-road weight limitations of the local, state and federal governments as well as the weight limitations of the service providers in the transport chain (including ports and rail). Merchant warrants it is aware that failure will result in an administration fee of USD 200 and additional charges including, but not limited to, rejection, termination, transload, scale, additional drayage or haulage, scale, demurrage, detention and/or per diem.

The freight charges listed on this notice are for customs entry and cargo valuation purposes only; the totals listed do not supersede those on the invoice. The sole financial document for payment is the invoice. To request an invoice, please contact our finance department at 1-800-790-5277, or please register online at <https://my.maerskline.com/> to view and print your invoice.

To ensure seamless processing of your container release requests, we request you to mention the IT (In-Bond) Number in the release instruction and also timely submit the Original bill of lading and payment proof (in case you do not enjoy credit terms with us).

*Note: Above payer is applied for Imports demurrage and detention charge (if any), If you want to change, please write or contact customer service before container pick-up or returned.

EXHIBIT B

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

YSN IMPORTS INC. D/B/A/ FLAME KING, *Complainant*

v.

FEIGE "PEGGY" OBERLANDER, U SHIPPERS GROUP INC.,
U SHIPPERS GROUP MANAGEMENT CO., INC., *Respondents.*

DOCKET NO. 21-02

Served: November 18, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

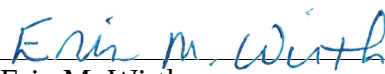
THIRD AMENDED SCHEDULE

On November 16, 2021, the parties filed a joint motion seeking an extension of deadlines in the revised scheduling order. The parties state that voluminous discovery has been produced and the parties have worked together to resolve some of their discovery disputes. Depositions are anticipated for December 15-16, 2021.

The parties should continue to work together to complete discovery. Deposition details should be finalized forthwith to ensure there are no delays. To the extent parties are considering requesting non-party service contracts, the parties should consider that service contracts contain confidential commercial information and there must be substantial need to obtain such discovery from non-parties, particularly where disclosure is sought by competitors. The parties should continue to work together to resolve discovery disputes and to settle this proceeding.

Good cause having been shown, the joint motion for an extension of deadlines is **GRANTED**. The parties are hereby **ORDERED** to comply with the following deadlines:

December 23, 2021	Complete fact depositions.
January 7, 2022	Identify experts and provide expert reports.
January 14, 2022	Disclosure of rebuttal expert reports, if any.
January 28, 2022	All discovery completed.
February 18, 2022	Complainant files brief with proposed findings of fact and appendix.
March 18, 2022	Respondents file opposition brief with proposed findings of fact and responses to Complainant's proposed findings of fact, and appendix.
April 1, 2022	Complainant files reply brief with responses to Respondents' proposed findings of fact.


Erin M. Wirth
Chief Administrative Law Judge